

## U.S. Semiconductors and Semiconductor Capital Equipment

# U.S. Semiconductors: Deconstructing 2026 (so far...)



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**At the end of the year we often break down industry growth drivers (see our takes from [2025](#) and [2024](#) for example). However, given an almost 80% YoY growth for the industry in the first quarter of 2026 an interim look appears warranted....**Indeed, total semiconductor industry revenues reached \$299B in Q1, up 79% YoY, reaching levels in a single quarter that have now exceeded the entire annual output of the industry when we started our career oh so long ago (**Exhibit 1**).

**Strong growth nearly everywhere, but memory takes the cake...**Non-memory segments grew a very respectable 28% (**Exhibit 2**). Among the various non-memory product categories Logic growth was strongest at +39% (presumably driven by GPUs/accelerators) with MPUs +22%, and most other segments (MCUs, Analog, Optical, Discretes) up teens YoY. Sensors rose LSD, and DSPs fell 22%. But memory really does take the cake, growing an astonishing 238% YoY, more than tripling vs Q125 (**Exhibit 3**), and reaching 46% of total semiconductor industry sales, by far the highest percentage since as far back as we have data for (almost 50 years) (**Exhibit 4**). We suspect this trend will continue, with (in our opinion) memory likely to make up half the industry, or more, this year.

**Pricing strong in logic (and off-the-charts in memory).** Non-memory pricing environment has been solid, but memory pricing has gone vertical with a growth trend that we have never seen in half a century (you really need to look at this chart; **Exhibit 5**). Industry ASPs overall rose 57% YoY in Q126; excluding memory pricing was still up ~13% driven mostly by Logic (+28% YoY). Pricing for other non-memory segments was mixed YoY, with MCUs, discretes, and MPUs up, while DSP, optical, analog, and sensor ASPs declined (**Exhibit 6**).

**Unit growth healthy in Q1 across the board...**Unit growth has also driven revenues, though not as much as pricing YTD. Memory units (chip-level) grew 27% YoY in Q1, with non-memory overall up 13%, and total industry units growing 14%. Analog, MPU, memory, and optical all grew strong double-digits YoY in Q1 (18%, 18%, 27%, and 42%, respectively) with discretes, sensors, MCU, and Logic all up single digits; DSPs were the only product group to experience unit declines YoY (**Exhibit 7**). Overall non-memory unit growth balanced pricing growth (both up ~13% YoY) (**Exhibit 8**).

**Growth in most product categories has begun to accelerate in recent quarters.** While Q1 was an incredibly strong quarter, we have seen signs of accelerating upside over the last several quarters in both memory and non-memory categories (though memory performance specifically left the launchpad in Q1) (**Exhibit 9**). On a blended basis unit growth has been fairly consistent over the last 4-5 quarters, though some categories (optical, analog, MPU, MCU, and memory in particular) have seen acceleration (**Exhibit 10**). Blended pricing trends have strengthened over the last several quarters however, driven in particular by analog, logic, and memory (**Exhibit 11**)

*(continued on next page)*

**Overall 2026 is looking to shape up as an incredible year if current trends continue.**

It was not that long ago that most industry watchers were suggesting the semiconductor industry might hit \$1T by 2030. But we are now on a run-rate (quarterly) to hit ~\$1.2T this year (and, we believe, likely to do more). Right now demand signals remain strong, with no signs of slowing down, and stocks have responded, [mostly due to sharp upward revisions in earnings estimates](#).

**In our US coverage we remain fans of NVDA, AVGO, and Semicap, and have recently warmed to AMD.** On “real” numbers NVDA and AVGO both screen cheap (probably mid-teens P/FE on realistic CY27E EPS) and continue to underpin AI demand. Every driver in the industry right now translates to a need for higher WFE; we remain bullish semicap. And we have warmed to AMD on CPU demand as well as broader AI accelerator opportunity, and think a \$20 EPS in 2028 is plausible. We rate NVDA, AVGO, AMAT, KLAC, LRCX, and AMD OP, with ADI, NXPI, TXN, QCOM, and INTC MP.

## BERNSTEIN TICKER TABLE

| Ticker                    | Rating | Cur | 11 May 2026   | Price Target | TTM        | Adjusted EPS |       |       |       | Adjusted P/E (x) |       |       |
|---------------------------|--------|-----|---------------|--------------|------------|--------------|-------|-------|-------|------------------|-------|-------|
|                           |        |     | Closing Price |              | Rel. Perf. | Cur          | 2025A | 2026E | 2027E | 2025A            | 2026E | 2027E |
| AMD (Advanced Micro)      | O      | USD | 458.79        | 525.00       | 315.1%     | USD          | 4.17  | 6.95  | 14.60 | 109.9            | 66.0  | 31.4  |
| ADI (Analog Devices)      | M      | USD | 422.73        | 375.00       | 72.7%      | USD          | 7.79  | 11.62 | 13.38 | 54.3             | 36.4  | 31.6  |
| AVGO (Broadcom)           | O      | USD | 428.43        | 525.00       | 74.8%      | USD          | 6.82  | 11.38 | 17.73 | 62.8             | 37.6  | 24.2  |
| INTC (Intel)              | M      | USD | 129.44        | 65.00        | 473.3%     | USD          | 0.43  | 1.04  | 1.35  | 303.6            | 124.0 | 95.7  |
| NVDA (NVIDIA)             | O      | USD | 219.44        | 300.00       | 57.1%      | USD          | 4.77  | 8.88  | 11.94 | 46.0             | 24.7  | 18.4  |
| NXPI (NXPmicroconductors) | M      | USD | 305.99        | 270.00       | 28.5%      | USD          | 11.81 | 14.58 | 16.45 | 25.9             | 21.0  | 18.6  |
| QCOM (Qualcomm )          | M      | USD | 237.53        | 140.00       | 32.6%      | USD          | 12.03 | 10.64 | 9.77  | 19.7             | 22.3  | 24.3  |
| TXN (Texas Instruments)   | M      | USD | 297.76        | 250.00       | 41.9%      | USD          | 5.45  | 7.62  | 8.22  | 54.7             | 39.1  | 36.2  |
| AMAT (Applied Materials)  | O      | USD | 443.62        | 425.00       | 154.1%     | USD          | 9.42  | 10.96 | 14.00 | 47.1             | 40.5  | 31.7  |
| KLAC                      | O      | USD | 1,845.19      | 1,875.00     | 132.2%     | USD          | 33.28 | 36.93 | 49.89 | 55.4             | 50.0  | 37.0  |
| LRCX (Lam Research)       | O      | USD | 296.05        | 325.00       | 261.9%     | USD          | 4.14  | 5.68  | 7.49  | 71.6             | 52.1  | 39.5  |
| SPX                       |        |     | 7,412.84      |              |            |              |       |       |       |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

TXN estimate is Reported EPS; TXN valuation is Reported P/E (x); NVDA base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

**ADI (Market-Perform, \$375):** ADI is executing well with both cyclical and idiosyncratic drivers, though the shares remain expensive.

**AMD (Outperform, \$525):** Expectations remain high, but exposure to AI demand driving both a CPU and GPU story can provide substantial growth.

**AVGO (Outperform, \$525):** A strong 2025 AI trajectory seems set to accelerate into 2026, bolstered by software, cash deployment, and superb margins & FCF.

**INTC (Market-Perform, \$65):** Server strength is helping the company get back on their feet, and narrative/headlines may fuel the vibe for now.

**NVDA (Outperform, \$300):** The datacenter opportunity is enormous, and still early, with material upside still possible.

**NXPI (Market-Perform, \$270):** The pace of recovery remains open for debate.

**QCOM (Market-Perform, \$140):** Memory headwinds appear likely to pressure smartphone builds and numbers appear high; we shall see if datacenter dream is enough to attract buyers.

**TXN (Market-Perform, \$250):** TXN shares feel fully valued in the current environment.

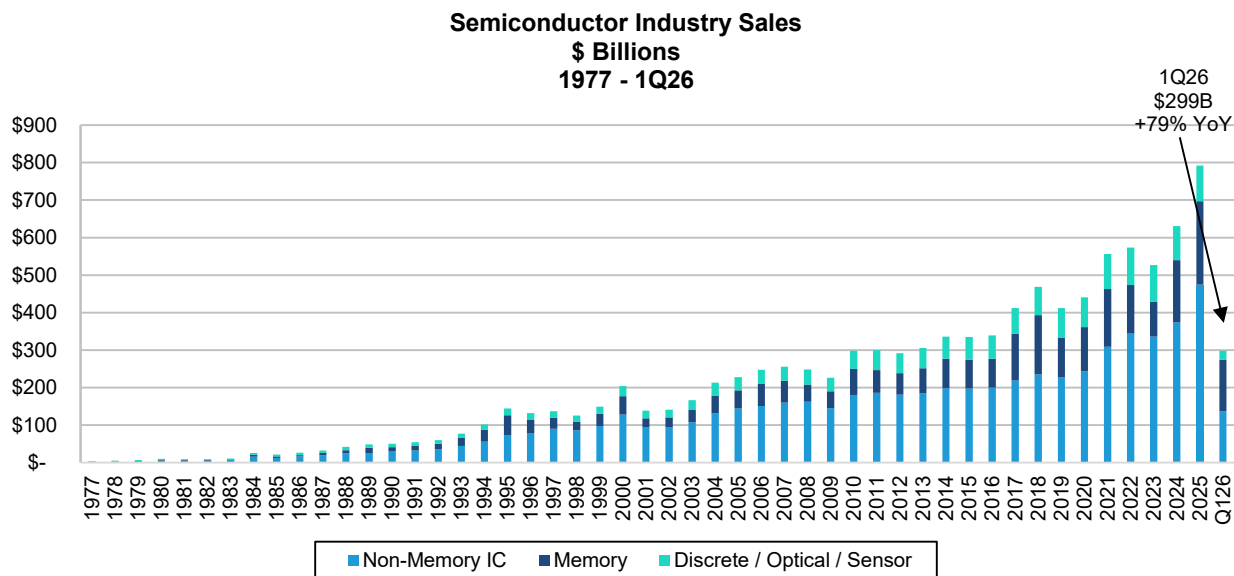
**AMAT (Outperform, \$425):** We maintain a positive view on secular WFE growth and see a number of drivers for AMAT including SAM growth, an increasing services narrative, and capital return.

**KLAC (Outperform, \$1,875):** Amid positive WFE trends KLAC possesses structural growth drivers, a strong and durable competitive position, lower China replacement risk, and disciplined capital allocation, warranting premium valuation.

**LRCX (Outperform, \$325):** The company is benefiting from key inflections (GAA, packaging, HBM, NAND upgrades) and CY26/27 commentary seems supportive.

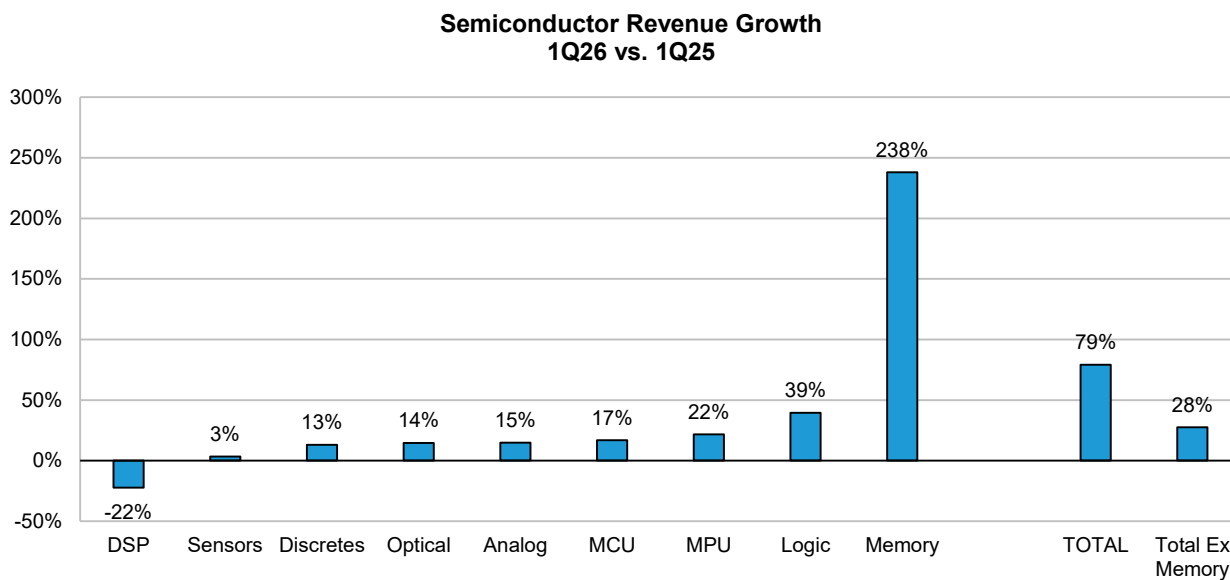
## DETAILS

EXHIBIT 1: **The semiconductor industry grew almost 80% YoY in Q126 reaching ~\$1.2T in annualized revenue**



Source: World Semiconductor Trade Statistics, Bernstein analysis

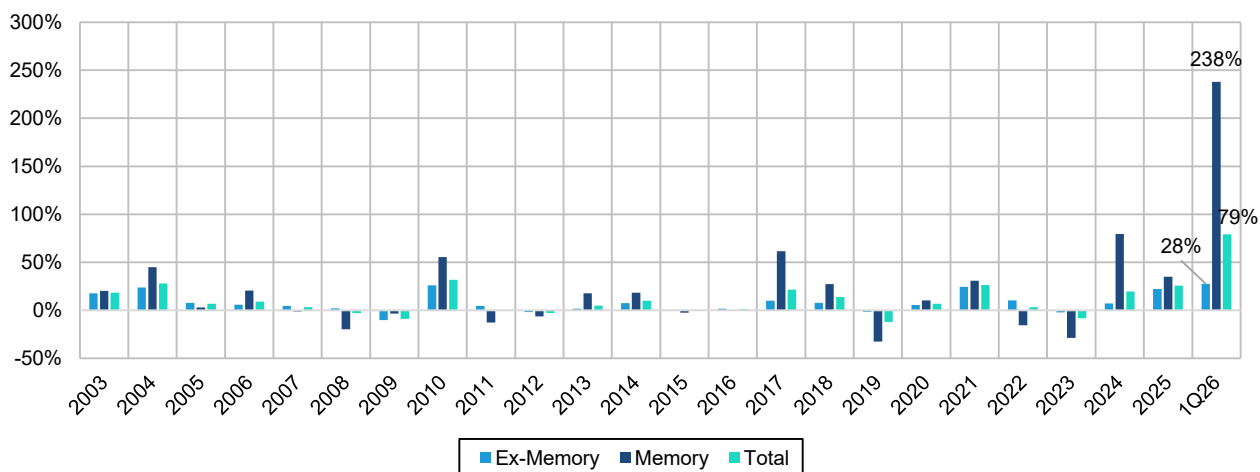
EXHIBIT 2: **Memory and Logic drove the majority of the growth in 1Q26**



Source: World Semiconductor Trade Statistics, Bernstein analysis

EXHIBIT 3: **Memory sales more than tripled YoY in 1Q26, with non-memory also showing respectable growth at 28% in 1Q, following 22% growth last year and 18% growth in 1Q25**

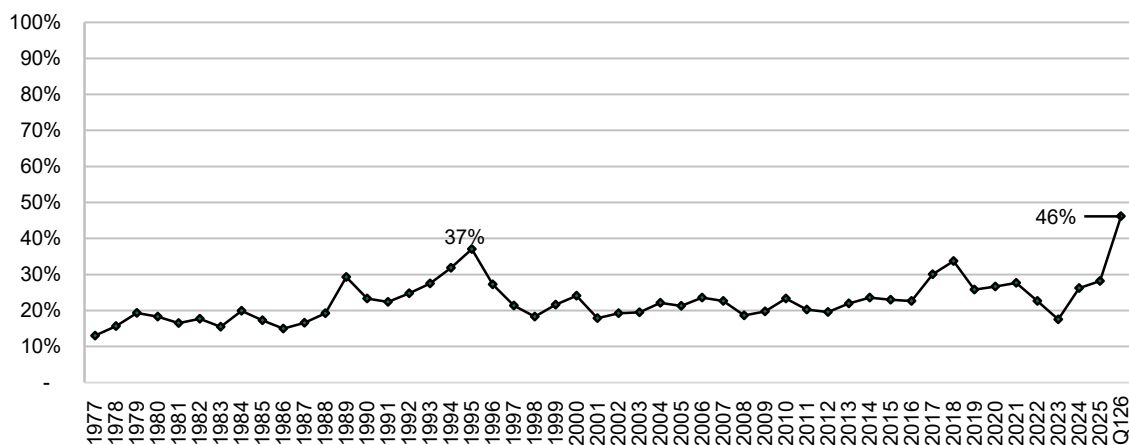
**Semiconductor Industry Revenue Growth  
Ex-Memory, Memory, and Total  
2003-1Q26**



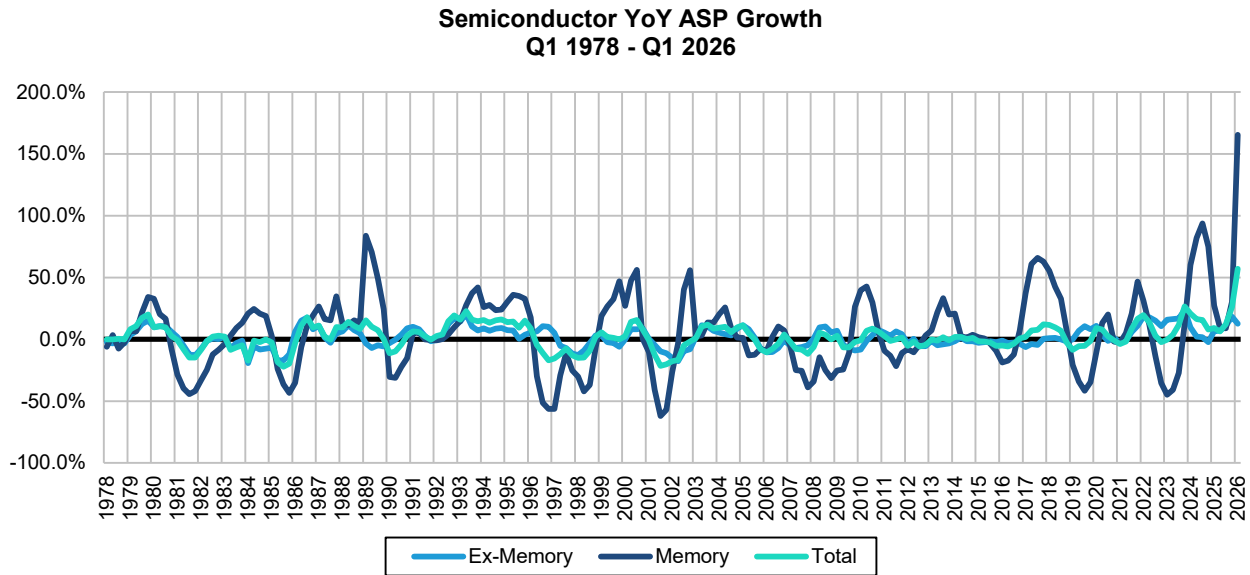
Source: World Semiconductor Trade Statistics, Bernstein analysis

EXHIBIT 4: **Memory has reached 46% of of total semi sales in Q1 and is on a path to make up more than 50% in 2026. This is the highest share ever observed in almost 50 years, and well above the previous peak of 37% seen in 1995**

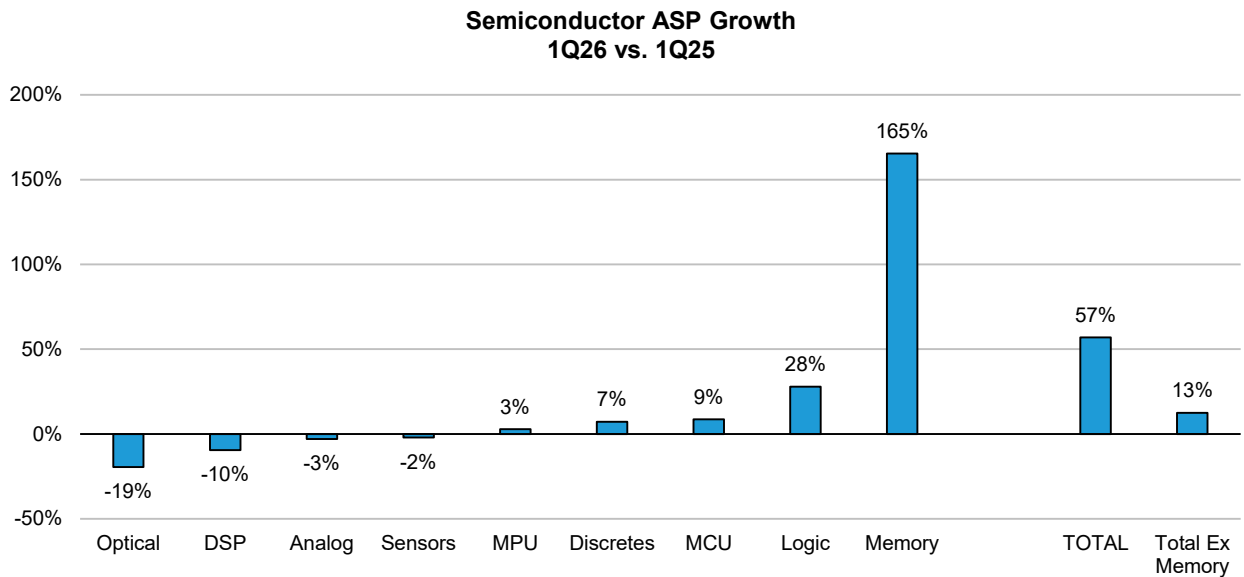
**Semiconductor Industry Sales  
Memory as % of total Semis sales  
1977- 1Q26**



Source: World Semiconductor Trade Statistics, Bernstein analysis

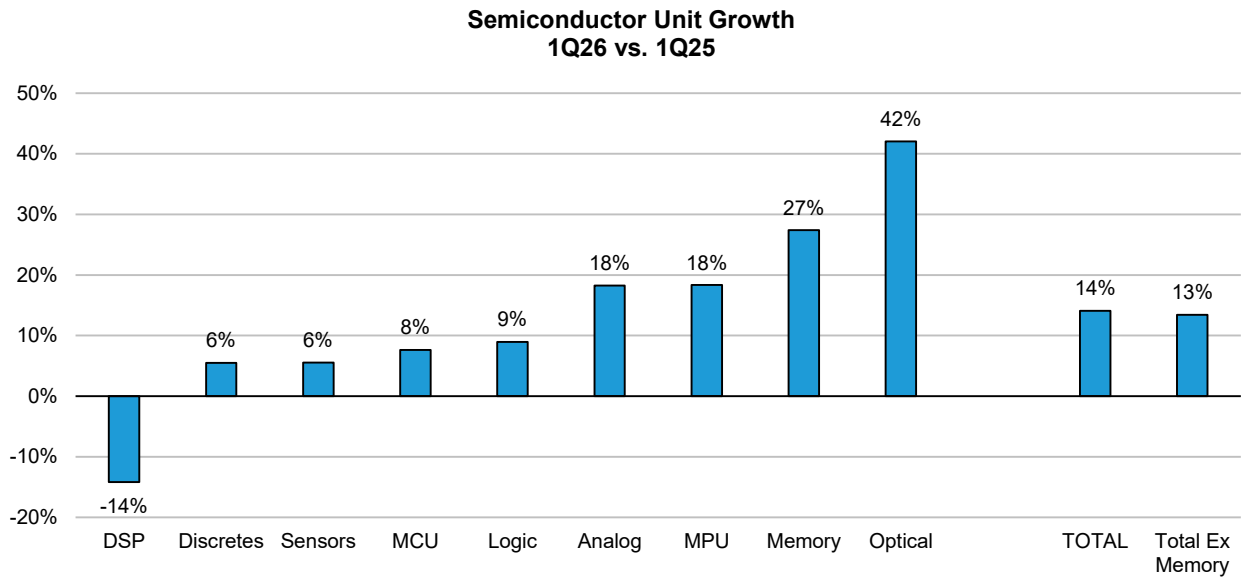
EXHIBIT 5: **This rate of price increases for Memory is unprecedented**

Source: World Semiconductor Trade Statistics, Bernstein analysis

EXHIBIT 6: **The bulk of industry ASP growth in Q1 came from Memory prices, which more than doubled YoY. Logic, MCU and Discretes also showed healthy price increases YoY, albeit at much more modest rates**

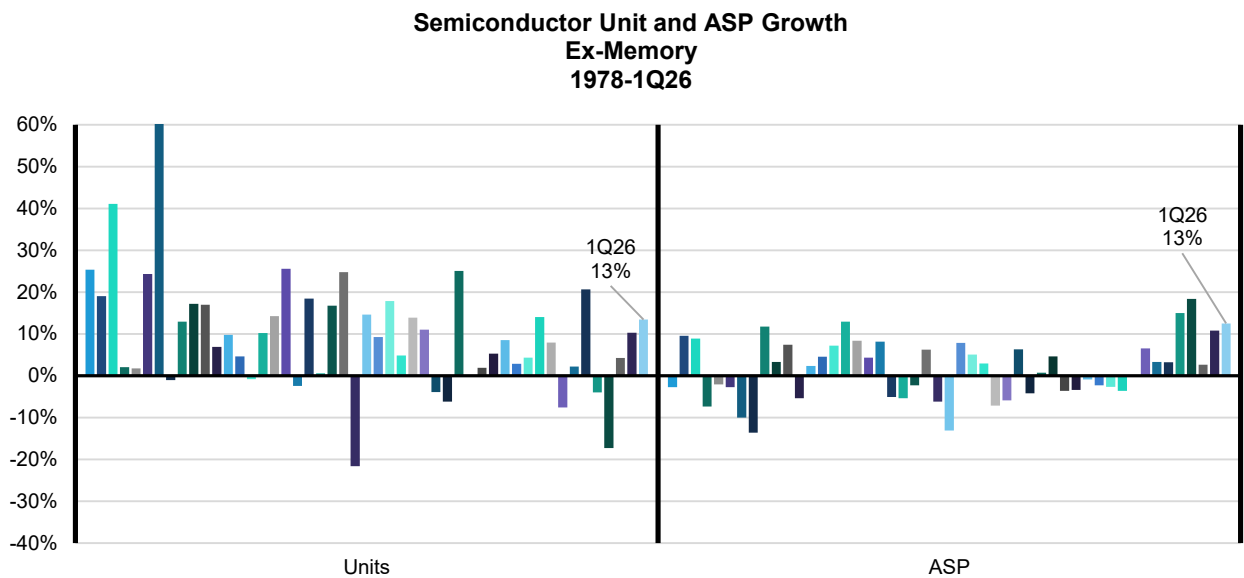
Source: World Semiconductor Trade Statistics, Bernstein analysis

**EXHIBIT 7: Semiconductor unit growth was healthy and grew ~14% YoY in Q126, driven by Optical, Memory, MPU, and Analog**



Source: World Semiconductor Trade Statistics, Bernstein analysis

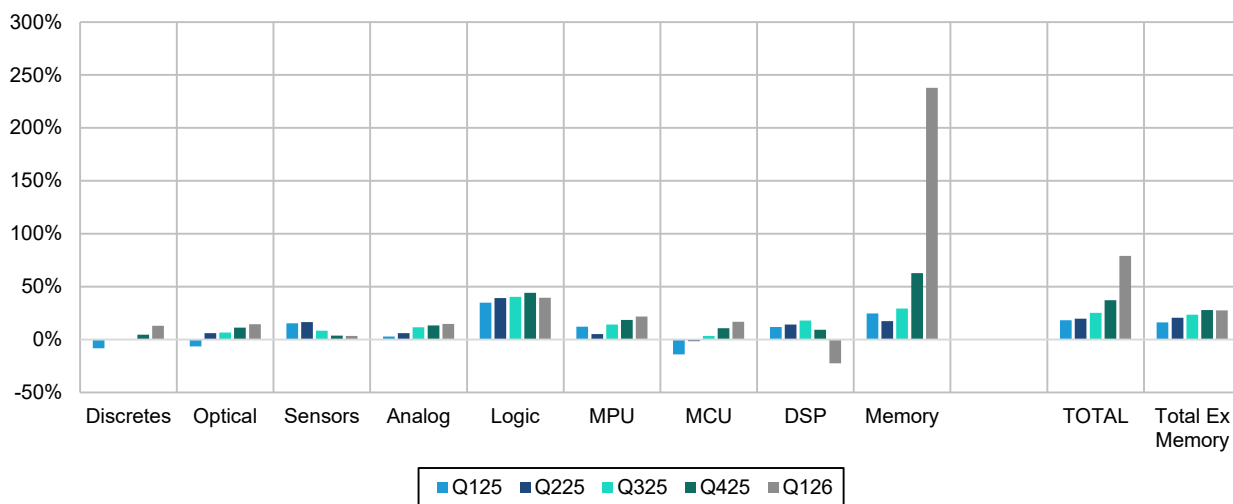
**EXHIBIT 8: In 1Q26 non-Memory saw balanced growth across units and pricing, with each growing 13% YoY, respectively**



Source: World Semiconductor Trade Statistics, Bernstein analysis

EXHIBIT 9: **Overall industry growth has accelerated in both memory and non-memory in recent quarters (with memory going vertical in Q1)**

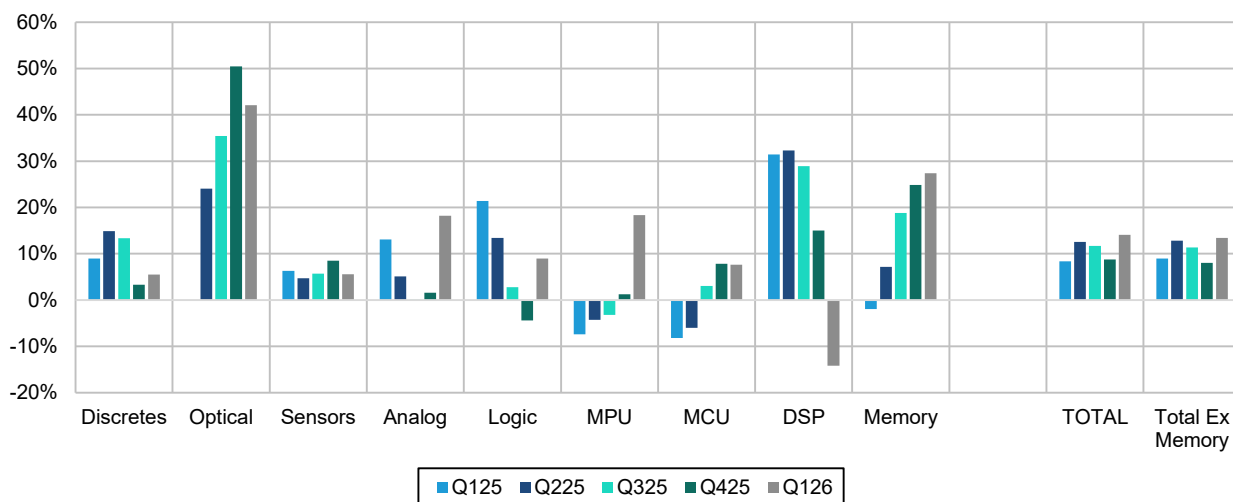
**Semiconductor Revenue YoY Growth Evolution**  
Q125 - Q126



Source: World Semiconductor Trade Statistics, Bernstein analysis

EXHIBIT 10: **Likewise, unit growth was solid throughout the last 5 quarters, particularly in Optical and Memory**

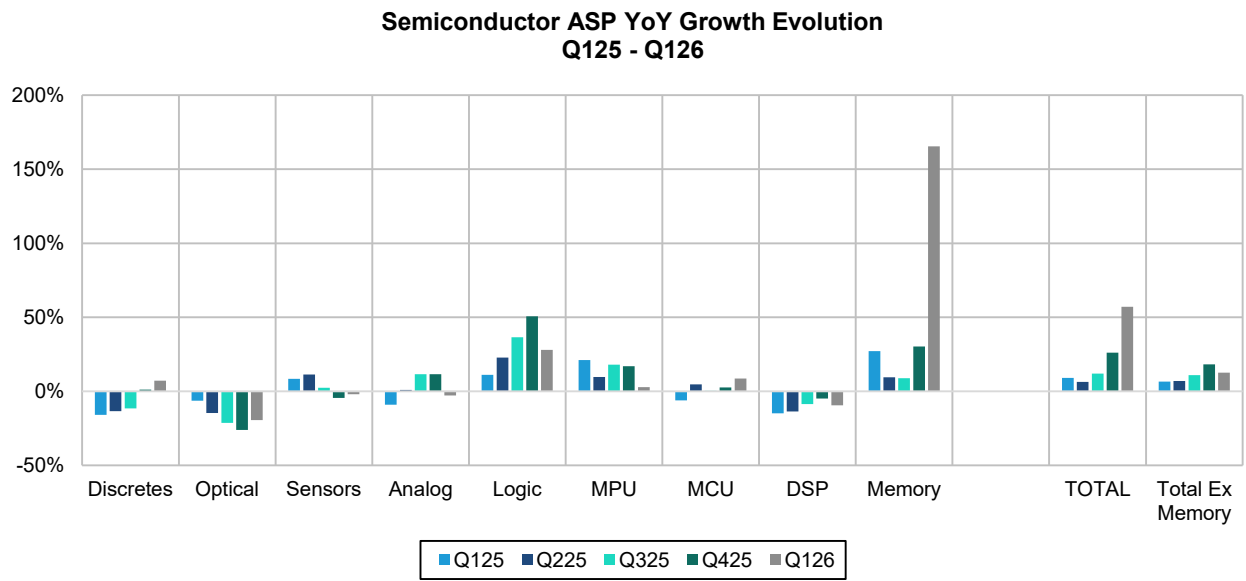
**Semiconductor Unit YoY Growth Evolution**  
Q125 - Q126



Source: World Semiconductor Trade Statistics, Bernstein analysis



EXHIBIT 11: **Logic and Memory pricing strengthened through the last 5 quarters, with Memory seeing sharp YoY price increases in Q1**



Source: World Semiconductor Trade Statistics, Bernstein analysis

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